

stock. The direct opposite has invariably been true. *Given two companies in the same general position and with the same earning power, the one paying the larger dividend will always sell at the higher price.*

Policy of Withholding Dividends Questionable. This is an arresting fact, and it should serve to call into question the traditional theory of corporate finance that the smaller the percentage of earnings paid out in dividends the better for the company and its stockholders. Although investors have been taught to pay lip service to this theory, their instincts—and perhaps their better judgment—are in revolt against it. If we try to bring a fresh and critical viewpoint to bear upon this subject, we shall find that weighty objections may be leveled against the accepted dividend policy of American corporations.

Examining this policy more closely, we see that it rests upon two quite distinct assumptions. The first is that it is advantageous to the stockholders to leave a substantial part of the annual earnings in the business; the second is that it is desirable to maintain a steady dividend rate in the face of fluctuations in profits. As to the second point, there would be no question at all, provided the dividend *stability* is achieved without too great sacrifice in the *amount* of the dividend. Assume that the earnings vary between \$5 and \$15 annually over a period of years, averaging \$10. No doubt the stockholder's advantage would be best served by maintaining a stable dividend rate of \$8, sometimes drawing upon the surplus to maintain it, but on the average increasing the surplus at the rate of \$2 per share annually.

This would be an ideal arrangement. But in practice it is rarely followed. We find that stability of dividends is usually accomplished by the simple expedient of paying out a *small part* of the average earnings. By a *reductio ad absurdum* it is clear that any company that earned \$10 per share on the average could readily stabilize its dividend at \$1. The question arises very properly if the shareholders might not prefer a much larger aggregate dividend, even with some irregularity. This point is well illustrated in the case of Atchison.

The Case of Atchison. Atchison maintained its dividend at the annual rate of \$6 for the 15 years between 1910 and 1924. During this time the average earnings were in excess of \$12 per share, so that the stability was attained by withholding over half the earnings from the stockholders. Eventually this policy bore fruit in an advance of the dividend to \$10,